Tata Consultancy Services Ltd

NSE: TCS | BSE: 532540 | IT Services | 11 June 2026

BUY Target Price: ₹2,502 | CMP: ₹2,199 (17-Jun-2026) | Upside: +13.8%

Snapshot		
Market cap	₹7.75 lakh Cr	52-wk range: ₹3,630 / ₹2,346 (BSE)
FY26 Revenue / PAT	₹2,67,021 Cr / ₹49,454 Cr	Revenue +4.6% YoY
FY26 EPS / DPS	₹136.01 / ₹31 final	Payout ~81%
P/E (FY26) / ROE	~15.7x / ~52%	ROCE ~63%

Investment Summary

TCS closed FY2026 with revenue of ₹2,67,021 crore (+4.6% YoY) and PAT of ₹49,454 crore, delivering its highest operating margins in four years despite persistent global macro headwinds. Order momentum was the standout: three mega deals and roughly $12 billion of total contract value in Q4 underline the durability of demand for cost-takeout and AI-led transformation programmes even in a soft discretionary spending environment.

The stock has de-rated sharply — down roughly 22% over twelve months — compressing the P/E to about 16x trailing earnings, well below its five-year average in the mid-20s. We believe the de-rating overshoots the fundamental deceleration. TCS remains the industry's profitability benchmark (27% EBITDA margin, 50%+ ROE), converts over 90% of operating profit to cash, and returns the bulk of earnings to shareholders. At current levels the dividend yield alone is around 5%.

Our DCF (WACC 11.4%, terminal growth 5%) values the stock at ₹2,502 per share, implying about 14% upside. We initiate at BUY. The key debate — whether generative AI deflates IT services revenue faster than it creates new work — is real, but TCS's scale, full-stack AI offerings, and entrenched client relationships position it as a consolidator of spend rather than a casualty.

FY2026 Results Review

Revenue grew 4.6% to ₹2,67,021 crore, with sequential momentum improving through the year — Q4 revenue of ₹70,698 crore was up 9.6% YoY, the strongest quarterly print of FY26. EBITDA rose 7.4% to ₹72,398 crore, lifting margin to 27.1%, aided by pyramid optimisation, lower attrition and currency. PAT growth of 1.3% lagged operating performance because other income swung negative (mark-to-market on investments) and finance costs rose on the Dec-25 quarter's one-off items.

The board declared a final dividend of ₹31 per share, taking the FY26 payout to roughly 81% of earnings, consistent with the company's policy of returning most free cash flow to shareholders.

Key FY2026 Highlights

- Highest operating margin in four years at ~25%; Q4 OPM 25.3%.
- Three mega deals; ~$12bn Q4 TCV; five-pillar strategy with AI-led positioning across services.
- Free cash flow of ₹48,013 crore — 97% of PAT; FCF has compounded ~9% over five years.

- Balance sheet: net cash of roughly ₹22,700 crore (investments less borrowings); negligible leverage.
- BFSI remains the largest vertical (~32% of revenue), followed by consumer business (~15%).

Financial Summary (Consolidated, ₹ Crore)

	FY2023	FY2024	FY2025	FY2026	FY2027E
Revenue	2,25,458	2,40,893	2,55,324	2,67,021	2,83,042
EBITDA	59,259	64,296	67,407	72,398	76,987
EBITDA margin	26.3%	26.7%	26.4%	27.1%	27.2%
PAT	42,303	46,099	48,797	49,454	~53,200
EPS (₹)	115.2	126.9	134.2	136.0	~147
ROE	~47%	~51%	~52%	~49%	~50%

Source: Company filings via Screener.in (FY2023–FY2026 actuals); FY2027E from the accompanying Excel model. E = estimate.

Valuation

We value TCS using a five-year FCFF DCF. Revenue is assumed to re-accelerate from 6% in FY27E to about 7% by FY29-30E as discretionary spend normalises and AI programmes scale; EBITDA margin is held near 27.2–27.5%. Capex at 1.6% of revenue and working-capital intensity of 12% of incremental revenue reflect history. The WACC of 11.4% (Rf 6.7%, beta 0.85, ERP 5.5%) is effectively the cost of equity given the debt-free balance sheet; terminal growth is 5%, conservative against India's nominal GDP.

The model (see accompanying Excel workbook, DCF sheet) produces an enterprise value of about ₹8.83 lakh crore and equity value of ₹9.06 lakh crore — ₹2,502 per share. Sensitivity: ±50bp on WACC moves fair value to roughly ₹2,280–2,770; the full WACC/terminal-growth grid is in the workbook.

Valuation Bridge	Value
PV of explicit FCFF (FY27E–FY31E)	₹2.13 lakh Cr
PV of terminal value	₹6.70 lakh Cr
Enterprise value	₹8.83 lakh Cr
Add: net cash	₹0.23 lakh Cr
Equity value / per share	₹9.06 lakh Cr / ₹2,502

Key Risks

- GenAI-driven pricing deflation on legacy services outpacing new AI revenue.
- Prolonged weakness in US/Europe discretionary tech spending; BFSI concentration (~32% of revenue).
- INR appreciation against USD/EUR/GBP compresses margins (~25-30bp per 1% move).
- Visa/immigration policy tightening in key markets raising onsite costs.

- The Nashik facility investigation (announced April 2026) — an adverse outcome could carry reputational cost.

Company Overview

Tata Consultancy Services, the flagship of the Tata group, is India's largest IT services, consulting and business solutions firm, serving many of the world's largest enterprises across banking and financial services, consumer, life sciences, manufacturing and communications. It operates one of the industry's largest delivery networks with around 600,000 employees, and is consistently the sector's profitability and cash-conversion leader. Promoter (Tata Sons) holding is approximately 71.8%.

Disclaimer